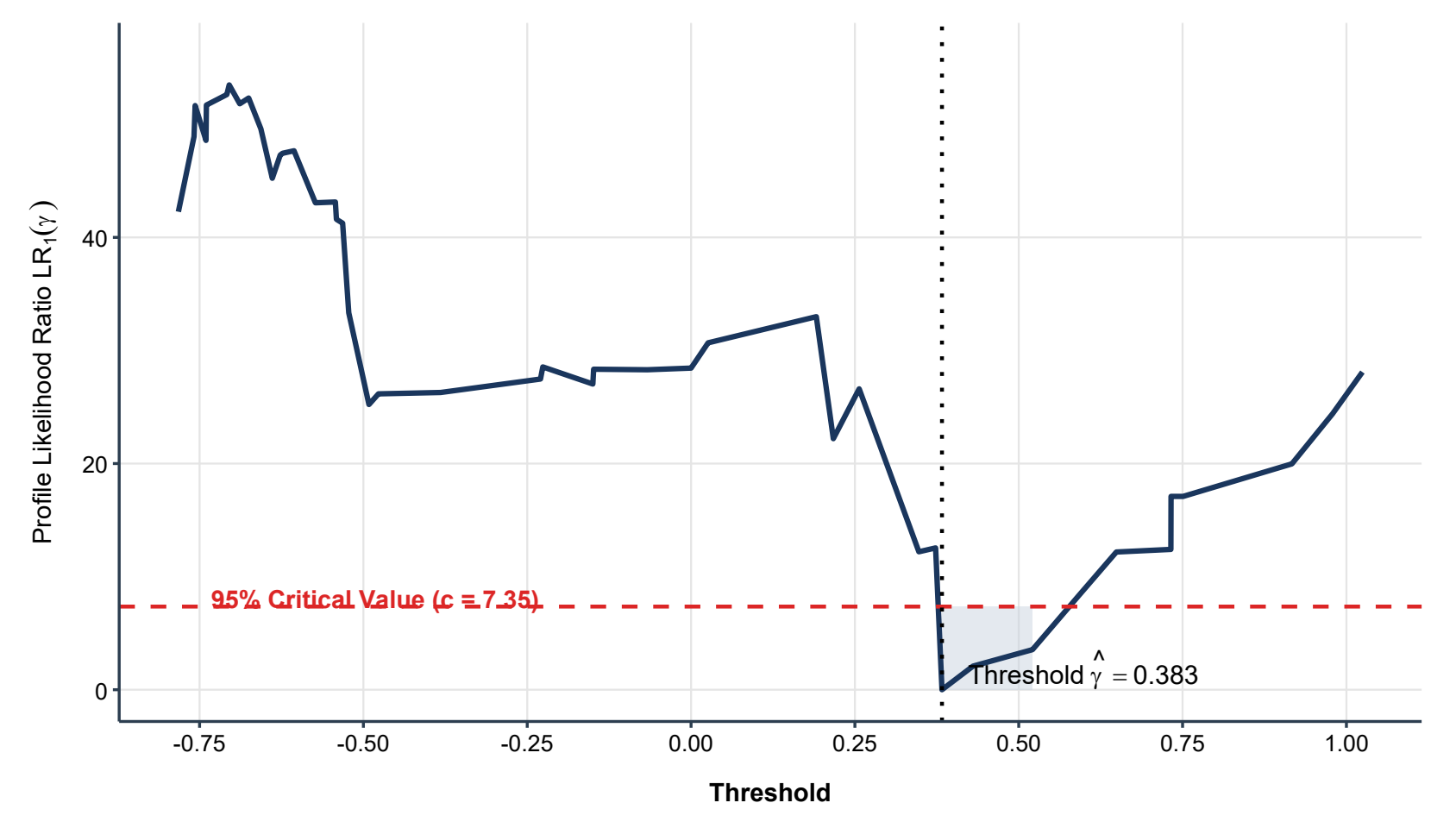
Profile Likelihood Ratio $LR_1(\gamma)$
40
20
0
95% Critical Value (c = 7.35)
Threshold $\hat{\gamma} = 0.383$
-0.75
-0.50
-0.25
0.00
0.25
0.50
0.75
1.00
Threshold